2. Promotion of Society

Business is a sub-system of society. It draws support and sustenance from society in the form of inputs. Socially responsible behaviour is essential to sustain this relationship between business and society.

3. Assessment of Social Impact

During the course of its functioning, a business enterprise makes several decisions and actions. Its activities exercise a strong influence on the interests and values of society. Business must fulfil social obligations as a compensation for undermining the legitimate interests of society.

4. Organised Social Power

Large corporations have acquired tremendous social power through their multifarious operations. Social power may be misused in the absence of social responsibility. There should be a equilibrium between social power and social responsibility.

5. Legitimacy

It is in the enlightened self-interest of business to assume social responsibility. Social responsibility legitimises and promotes the economic objectives of business. By improving social life, business can obtain better customers, employees and neighbours. Social responsibility thus builds good citizenship as well as good business.

6. Competence

Business organisations and their managers have proved their competence and leadership in solving economic problems. Society expects them to use their competence to solve social problems and thereby play a leadership role.

7. Professional Conduct

Professional managers are required to display a keen social sensitivity and serve the society as a whole. Social responsibility is one of the professional demands on managers. They adhere to the code of conduct and ethics applicable to respective area of operation.

8. Public Opinion

Adoption of social responsibility as an objective will help to improve the public opinion of business. A good public image is a valuable asset for business. For example maintaining parks, traffic islands and organising awareness camps etc.,

Arguments Against Social Responsibilitly

Critics of the social responsibility concept put forward the following arguments:

1. Lack of Conceptual Clarity

The concept of Social responsibility is very vague and amenable to different interpretations. There is no consensus on its meaning and scope. In such a situation, it would be futile as well as risky to accept social responsibility.

2. Dilution of Economic Goals

By accepting social responsibility, business will compromise with economic goals. Business is an economic institution and its only responsibility is to make maximum possible profits for its owners. It would endanger its economic viability by accepting any other responsibility.

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